Financials

CMD26

Capital Markets Day

21 September



Karsten Munk Knudsen
CFO, EVP, Finance, Legal & Global Solutions

Forward-looking statements

Novo Nordisk's statutory Annual Report 2025, Form 20-F, any quarterly financial reports, the materials displayed and other information provided (orally or in writing) at this Capital Markes Day as well as written information released, shown, or oral statements made, to the public in the future by or on behalf of Novo Nordisk, may contain certain forward-looking statements relating to the operating, research & development, financial and sustainability performance and results of Novo Nordisk and/or the industry in which it operates.

Forward-looking statements can be identified by the fact that they do not relate to historical or current facts and include guidance. Words such as 'believe', 'expect', 'may', 'will', 'plan', 'strategy', 'transition plan', 'prospect', 'aspiration', 'ambition', 'upcoming', 'become', 'foresee', 'estimate', 'project', 'anticipate', 'can', 'intend', 'target' and other words and terms of similar meaning, as they relate to Novo Nordisk or our management, are intended to identify forward-looking statements. Examples of such forward-looking statements include, but are not limited to:

- Statements of targets, future guidance, (transition) plans, objectives, ambitions, aspirations or goals for future operations, including those related to operating, financial and sustainability matters, Novo Nordisk's products, product research, product development, product introductions and product approvals as well as cooperation in relation thereto;
- Statements containing projections of or targets for revenues, costs, income (or loss), earnings per share, capital expenditures, dividends, capital structure, net financials and other financial measures;
- Statements regarding future economic performance, future actions and outcome of contingencies, such as legal proceedings; and
- Statements regarding the assumptions underlying or relating to such statements.

By their very nature, forward-looking statements involve risks, uncertainties and assumptions, both general and specific, and actual results may differ materially from those contemplated, expressed or implied by any forward-looking statement.

Factors that may affect future results include, but are not limited to, global as well as local political, economic and environmental conditions, such as interest rate and currency exchange rate fluctuations or climate change, delay or stoppage or failure of projects related to clinical trial conduct or research and/or development, unplanned loss of patents, interruptions of supplies and production, including as a result of interruptions or delays affecting supply chains on which Novo Nordisk relies, shortages of supplies, including energy supplies, product recalls, unexpected contract breaches or terminations, government-mandated or market-driven price decreases for Novo Nordisk's products, introduction of competing products, reliance on information technology including the risk of cybersecurity breaches (Novo Nordisk has experienced events of IT security breaches in the past), Novo Nordisk's ability to successfully market current and new products, exposure to product liability and legal proceedings and investigations, changes in governmental laws and related interpretation thereof, including on reimbursement, intellectual property protection and regulatory controls on testing, approval, manufacturing and marketing, and taxation changes, including changes in tariffs and duties, perceived or actual failure to adhere to ethical marketing practices, investments in and divestitures of domestic and foreign companies, unexpected growth in costs and expenses, strikes and other labour market disputes, failure to recruit and retain the right employees, failure to maintain a culture of compliance, epidemics, pandemics or other public health crises, effects of domestic or international crises, civil unrest, war or other conflict and factors related to the foregoing matters and other factors not specifically identified herein.

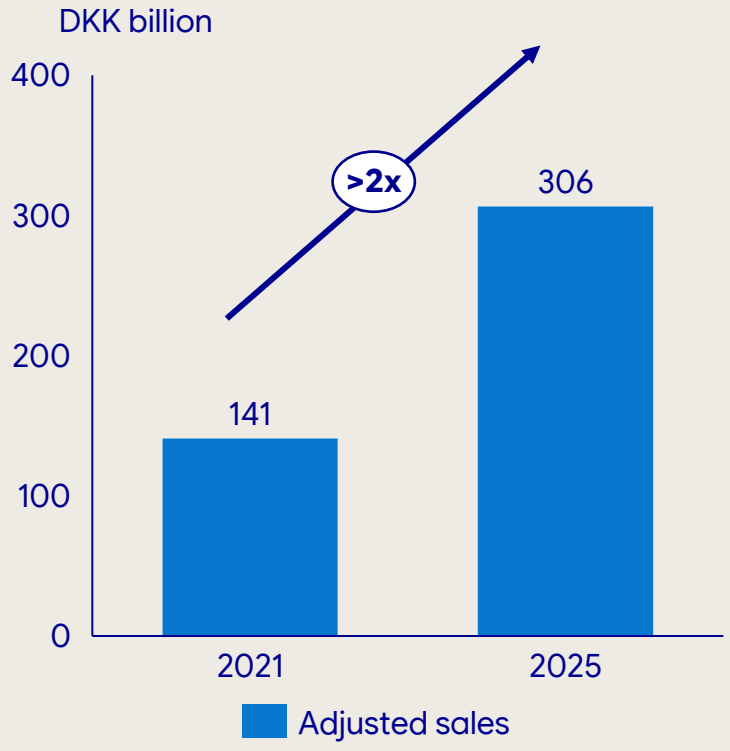
For an overview of certain risks that could adversely affect Novo Nordisk's results or the accuracy of its forward-looking statements , reference is made to 'Risks management' in the Annual Report 2025.

None of Novo Nordisk or its officers or employees accept any responsibility for the future accuracy of its forward-looking statements.

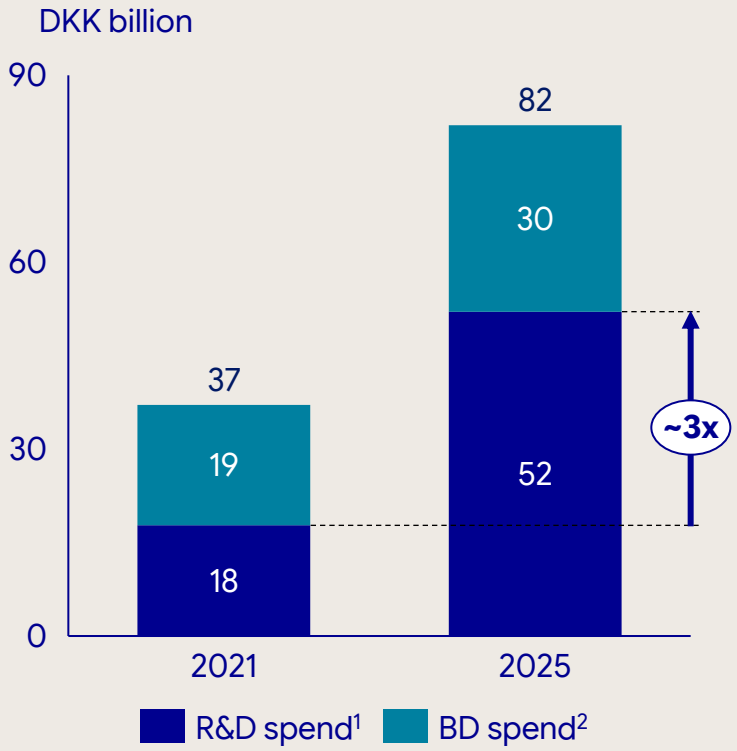
Unless required by law, Novo Nordisk has no duty and undertakes no obligation to update or revise any forward-looking statement, whether as a result of new information, future events, or otherwise.

Novo invested for the future during a period of hypergrowth

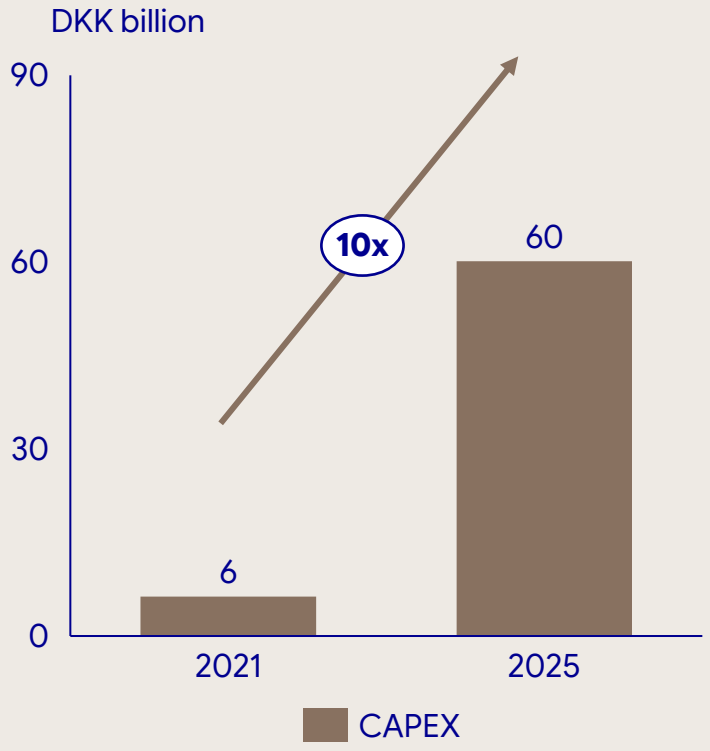
Novo has experienced a period of exceptional growth



This has enabled R&D spend to almost triple since 2021



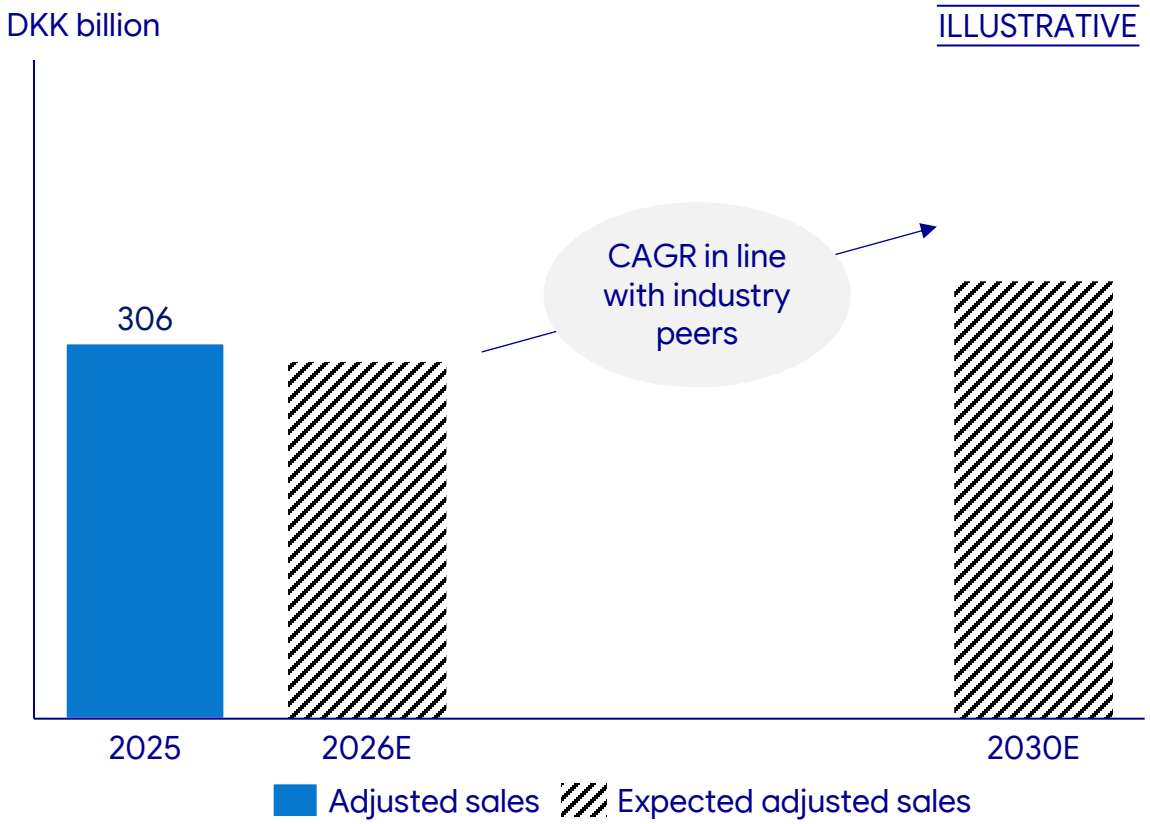
CAPEX peaked in 2025



[1]Income statement amount for research and development cost [2]Cash flow statement amount for the purchase of intangible assets and cash used for acquisition of businesses
BD: Business development; CAPEX: Capital expenditure
Note: Throughout this presentation, adjusted sales exclude 340B provision reversals while adjusted cost lines and adjusted operating exclude major legal matters, major impairments and 340B provision reversals. More information on adjusted metrics can be found in Appendix 7 in Q2 2026 Company announcement
Source: Novo 2021 and 2025 financial statements

Near-term focus is on stabilising revenues, with the ambition of delivering 2026-30 sales CAGR in line with industry peers

Adjusted sales trajectory



New product launches and scaling of Wegovy® pill are partially offset by price and competitive pressure

- Wegovy® pill rollout and market expansion
- Next wave of blockbusters in obesity and diabetes, including upcoming CagriSema launch
- Launch of blockbusters in blood & endocrine disorders and liver diseases
- Lower prices
- Increasing competition and LoE in select countries

CAGR: Compound annual growth rate; E: Expected; LoE: Loss of exclusivity
Note: The estimates do not constitute Novo's financial outlook or guidance on growth or performance. Industry peers: Eli Lilly, AstraZeneca, Gilead, Johnson & Johnson, AbbVie, Novartis, Sanofi, Roche, GSK, Amgen, Merck & Co, Biogen, Pfizer, Bristol Myers Squibb

Cost initiatives are driving higher productivity and future growth

Cost discipline is maintained following restructuring

Organisational efficiencies

-13,000 FTEs (-16%)[1]

- Continued focus on organisational and supply chain network optimisation

Procurement policies

Ongoing cost savings program

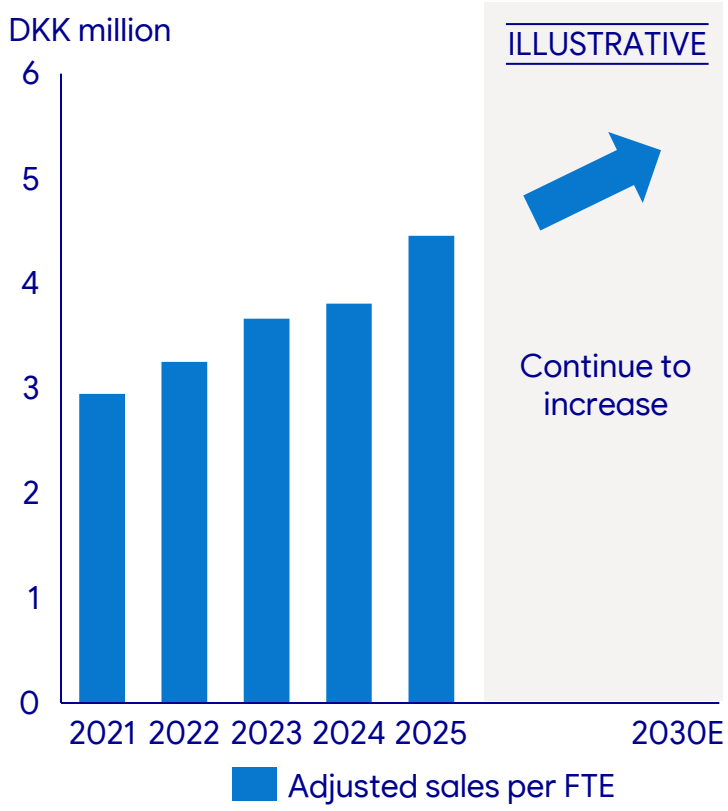
- Supplier renegotiations, tighter tail-spend control
- ~30% decrease in external service spend YTD[2]

Reallocating savings

>10 bDKK in savings

- Savings allocated to R&D, commercial growth brands and manufacturing right-sizing

Aim to increase adjusted sales per FTE



[1]August 2026 vs August 2025 [2]January-August 2026 vs January-August 2025
E: Expected; FTE: Full-time employee; YTD: Year-to-date
Note: The ambitions do not constitute Novo's financial outlook or guidance on growth or performance. Tighter tail-spend control means stronger controls on fragmented, low-value spend. Initiatives include eg. reduce the number of IT applications by 50%. Revenue per FTE is calculated as net adjusted sales/year-end number of FTEs
Source: Novo data on file

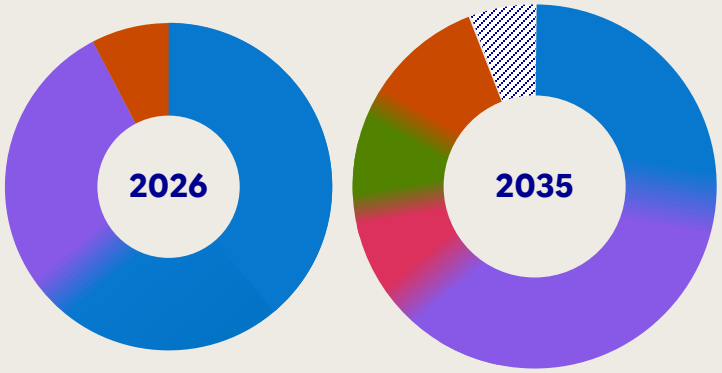
Corporate strategy is enabled by disciplined resource allocation

Updated corporate strategy guides resource allocation

Strengthen and expand our core	Diabetes
	Obesity
Build out future growth engines	Blood & endocrine disorders
	Liver diseases
	Cardiovascular diseases
Explorative	Consumer Rx

Novo aims to grow into a larger, more diversified company by 2035

ILLUSTRATIVE



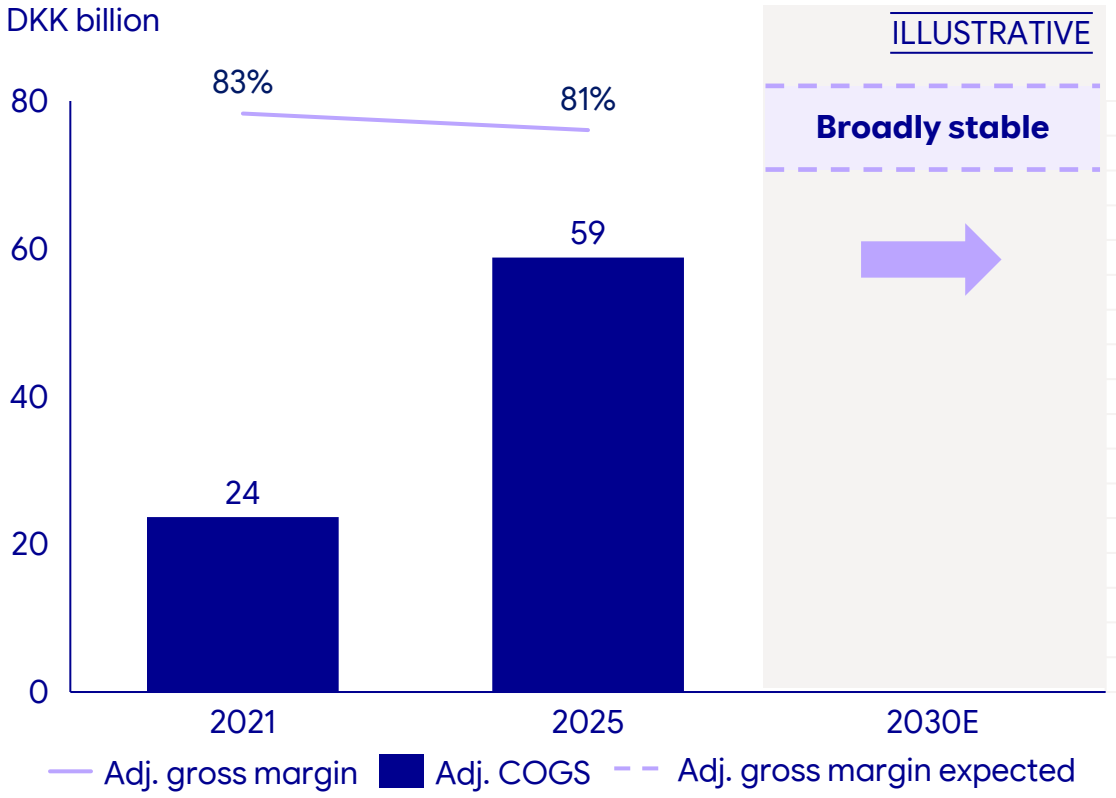
Growth focused resource allocation

- Invest in R&D to strengthen core leadership and scale new growth engines
- Invest in commercial growth brands, new channels and upcoming launches
- Ensure flexible oral and injectable capacity to enable R&D and commercial execution

CV: Cardiovascular; Rx: Prescription
Source: Novo data on file

Aim to keep adjusted gross margin broadly stable while navigating future pricing headwinds

Aim to keep adjusted gross margin broadly stable



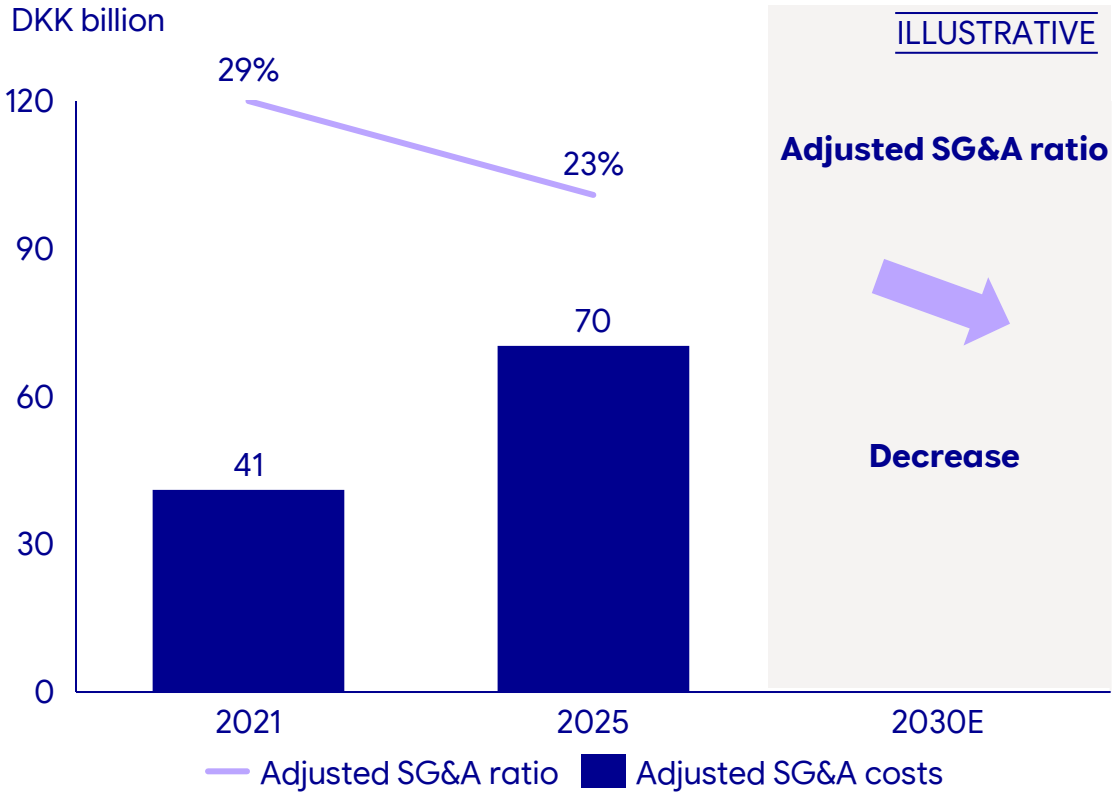
Expected gross margin drivers mid-term

- Supply network optimisation and economies of scale
- API optimisation and new SNAC formulations
- Increasing productivity, including deploying AI
- Lower prices
- Depreciation and amortisation from CAPEX and acquisitions

Adj.; Adjusted; CAPEX: Capital expenditure; COGS: Cost of goods sold; E: Expected; SNAC: salcaprozate sodium (absorption enhancer)
Note: The ambition above do not constitute Novo's financial outlook or guidance on growth or performance.
Source: Novo data on file

While investing in key growth opportunities, we aim to gradually decrease adjusted SG&A ratio towards 2030

Adjusted SG&A ratio is expected to decline towards 2030 while absolute spend will slightly increase



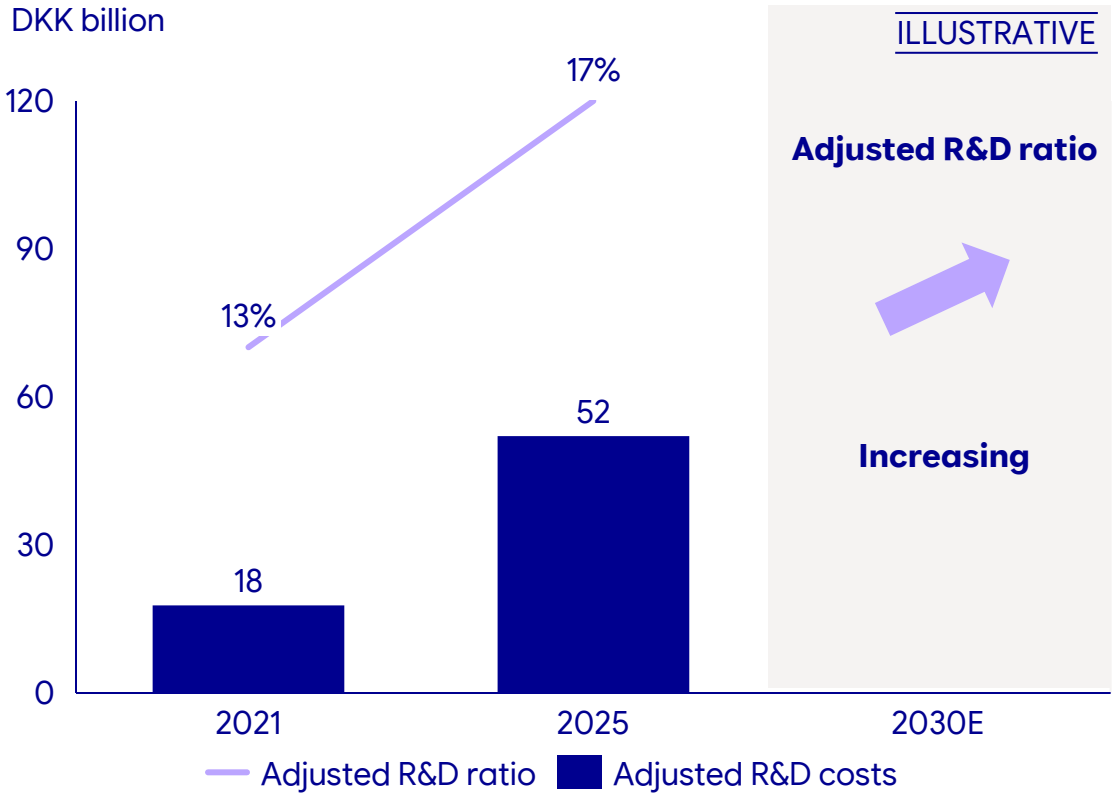
Expected SG&A drivers mid-term

- Cost efficiencies across the organisation
- Optimisation of Novocare®
- Implementing AI at speed across the organisation
- Investments in growth brands and new blockbuster launches
- Investments in novel channels, including telehealth

E: Expected; SG&A: Selling, general, and administrative expenses
Note: The ambition above do not constitute Novo's financial outlook or guidance on growth or performance
Source: Novo data on file

Adjusted R&D ratio is expected to increase in order to grow and diversify the pipeline

R&D investments have almost tripled since 2021



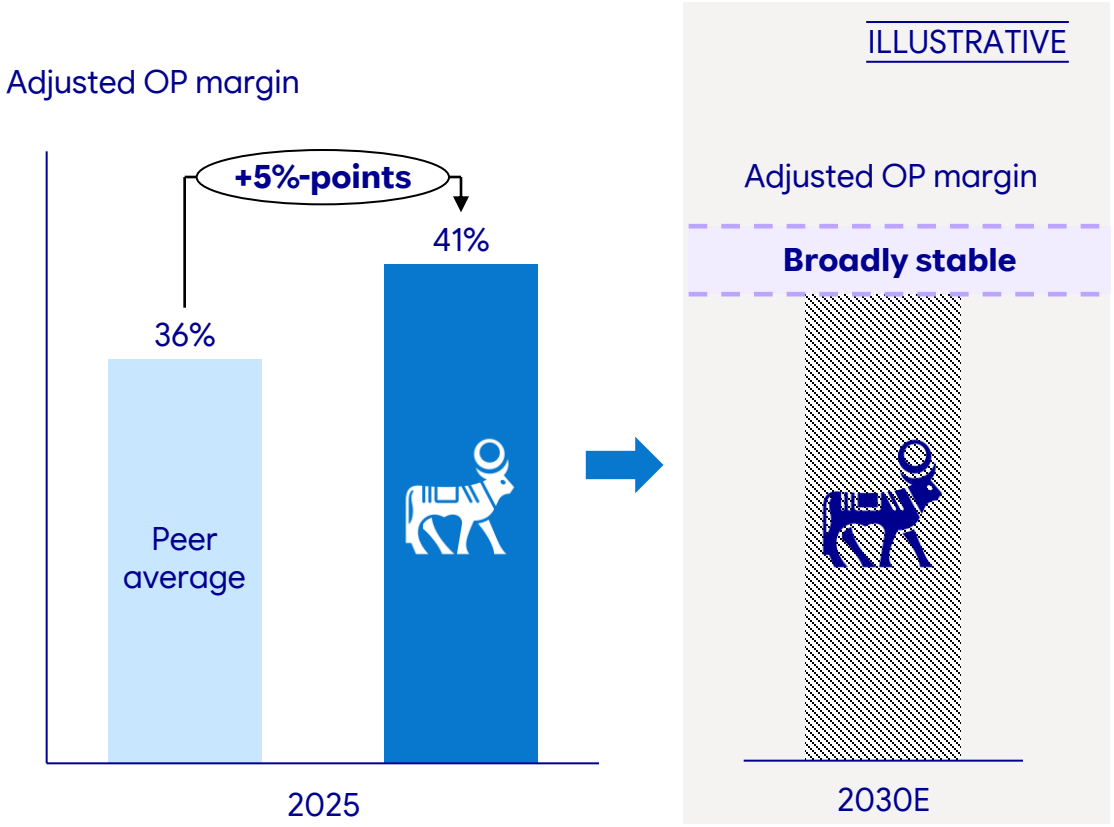
Late-stage pipeline ambitions

Strengthen and expand our core	**Diabetes**	Towards 2030 **≥5 phase 3 programmes[1]**
	Obesity	
Build out future growth engines	**Blood & endocrine disorders**	Towards 2030 **≥5 phase 3 programmes[1]**
	Liver diseases	
	Cardiovascular diseases	
Explorative	**Consumer Rx**	

[1]Enter or complete, including new and current programmes
E: Expected; Rx: Prescription
Note: The estimates do not constitute Novo's financial outlook or guidance on growth and performance

Targeting a broadly stable adjusted OP margin by 2030 with higher R&D spend offset by productivity gains and SG&A discipline

Aim to keep adjusted OP margin broadly stable



Targeted development 2030

Adjusted gross margin - broadly stable
Protect with yield improvements, scale and productivity

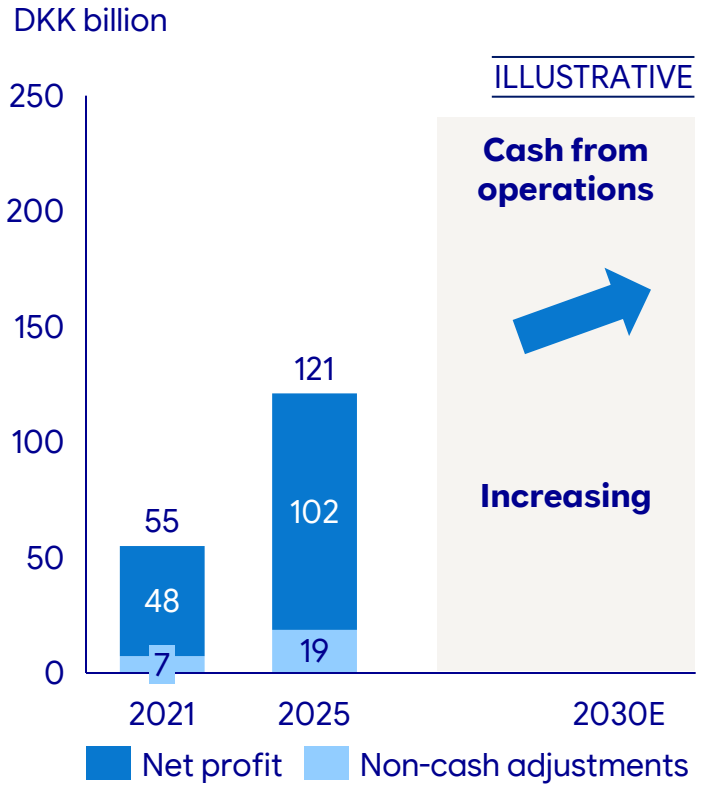
Adjusted R&D ratio - increase
Reinvest in priority pipeline and LoE strategy

Adjusted SG&A ratio – gradually decline
Invest behind multiple blockbuster launches and drive increasing revenue per FTE

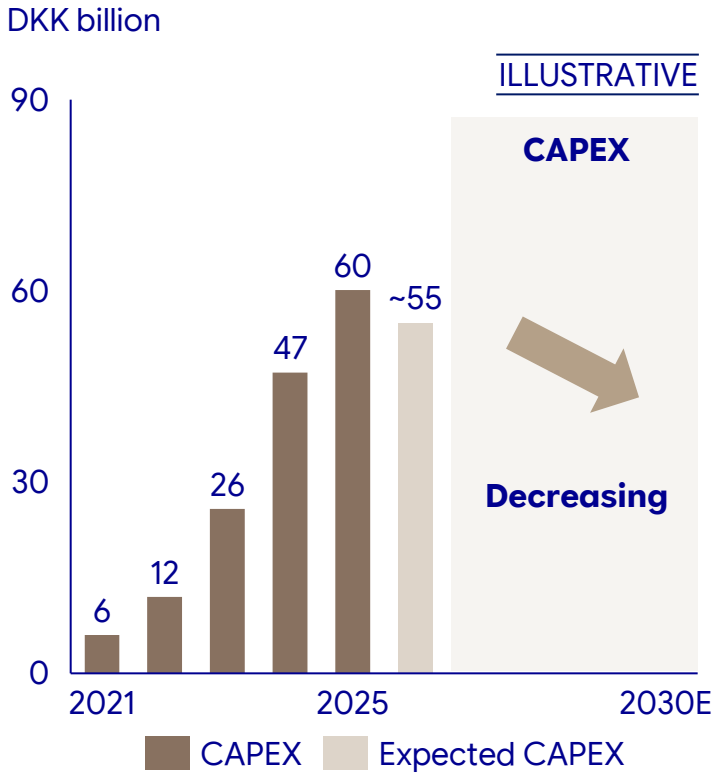
FTE: Full-time employee; LoE: Loss of exclusivity; OP: Operating profit; SG&A: Selling, general and administrative expenses
Note: The estimates do not constitute Novo's financial outlook or guidance on growth or performance. Industry peers: Eli Lilly, AstraZeneca, Gilead, Johnson & Johnson, AbbVie, Novartis, Sanofi, Roche, GSK, Amgen, Merck & Co, Biogen, Pfizer, Bristol Myers Squibb.
Source: Evaluate Pharma data (adjusted OP margin for peer average) and Novo data on file

Solid cash flow from operations and declining CAPEX will support continued attractive free cash flow

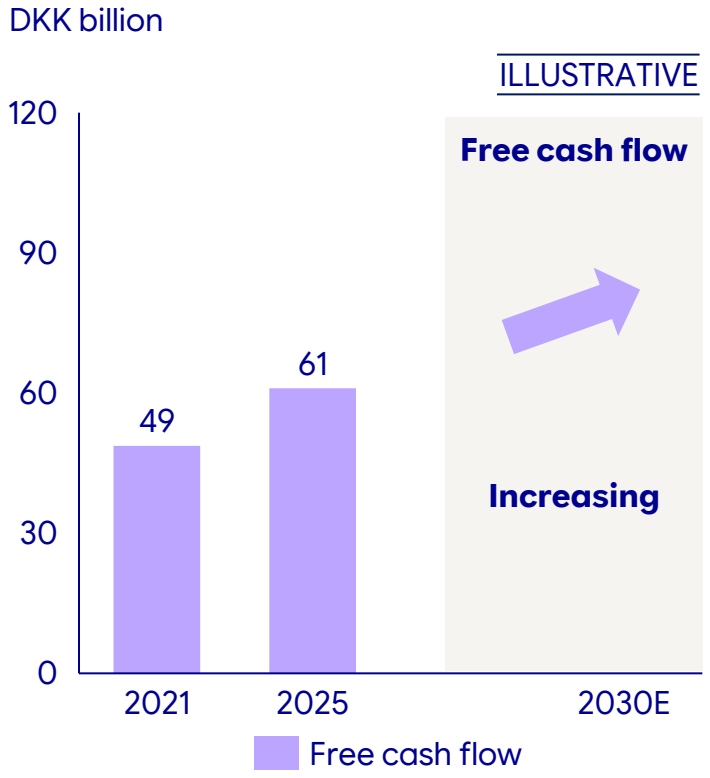
Attractive cash generation



CAPEX-to-sales ratio expected to decline towards industry average



Free cash flow expected to increase over time



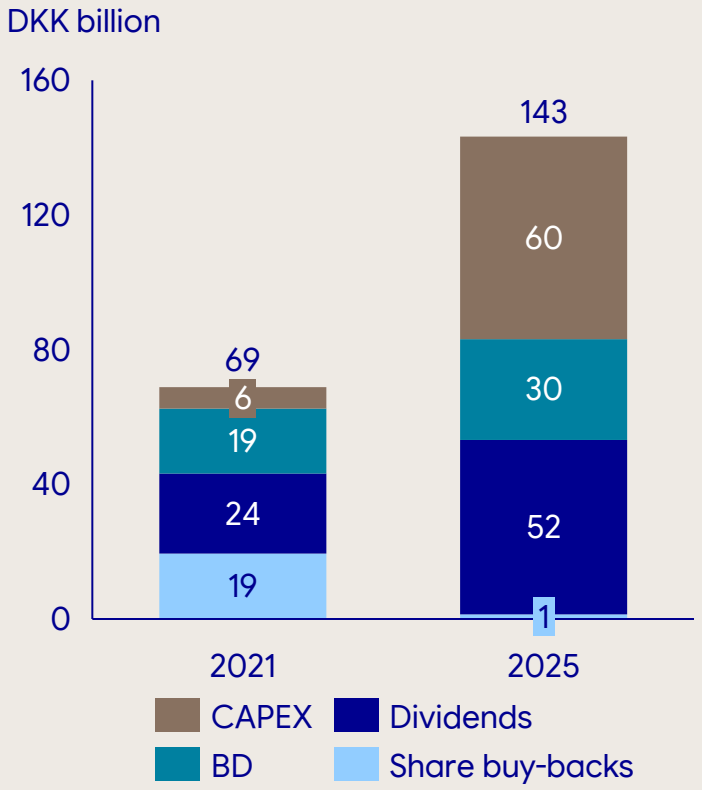
CAPEX: Capital expenditure
Note: With effect from 2026, Novo defines free cash flow as 'net cash generated from operating activities', less 'Purchase of property, plant and equipment'. Comparative figures are restated accordingly. For further information, see page 118 of the Novo Annual Report 2025. The estimates do not constitute Novo's financial outlook or guidance on growth or performance
Source: Novo 2021 - 2025 financial statements

Increasing free cash flow supports our ambition to maintain an attractive dividend per share

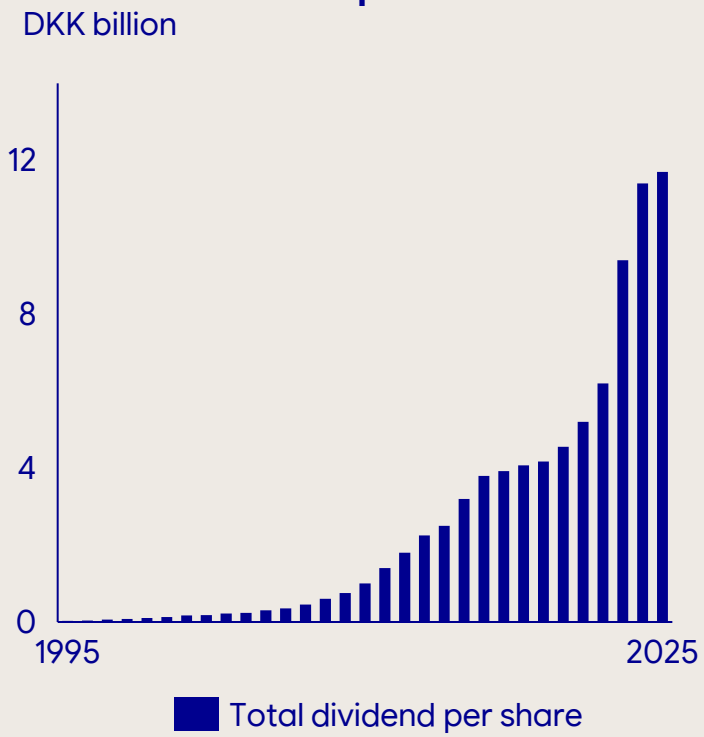
Capital allocation priorities

1. Internal growth opportunities
2. Maintain attractive dividend per share
3. BD investments to enhance R&D pipeline
4. Flexible share buybacks

Disciplined capital allocation



31 consecutive years of increasing dividend per share



BD: Business development; CAPEX: Capital expenditure
Source: Novo annual reports

Business development helps scale innovation beyond internal capabilities

Expand pipeline through value-creating bolt-on business development

Guiding principles for business development

Bolt-on business development remain the strategic priority

Strategic fit

Therapy area strategic fit including unmet need

Scientific rationale

Novel targets and differentiated MoA, supported by compelling biology

Financial attractiveness

Attractive peak sales, valuation/ROIC/IRR

Strong balance sheet enables Novo to pursue relevant business development opportunities

Strong balance sheet

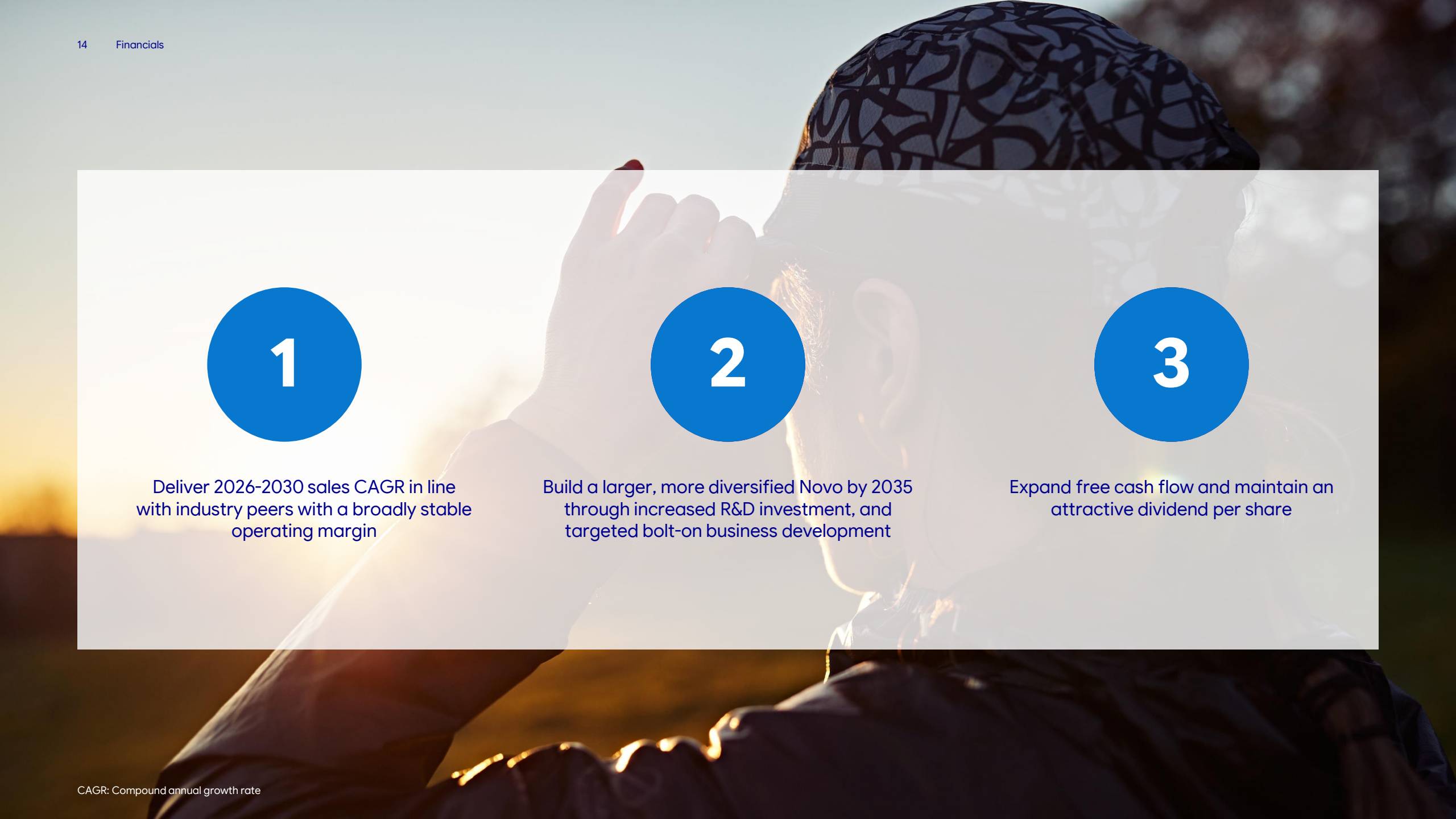
Net debt-to-EBITDA ratio ~0.7x[1]

Top 3 pharma credit rating

Moody's **Aa3**

S&P Global Ratings **AA**

[1]At year-end 2025, Novo's net debt/EBITDA was 0.64x
EBITDA: Earnings before interest, taxes, depreciation, and amortization; IRR: Internal rate of return; MoA: Mechanism of action; ROIC: Return on invested capital
Note: Moody's Rating upgraded Novo's rating to Aa3 in 22 Jan 2025 and S&P Global Ratings upgraded to AA on 19 May 2025
Source: Moody's and S&P Global issuer rating



1

Deliver 2026-2030 sales CAGR in line with industry peers with a broadly stable operating margin

2

Build a larger, more diversified Novo by 2035 through increased R&D investment, and targeted bolt-on business development

3

Expand free cash flow and maintain an attractive dividend per share

CAGR: Compound annual growth rate